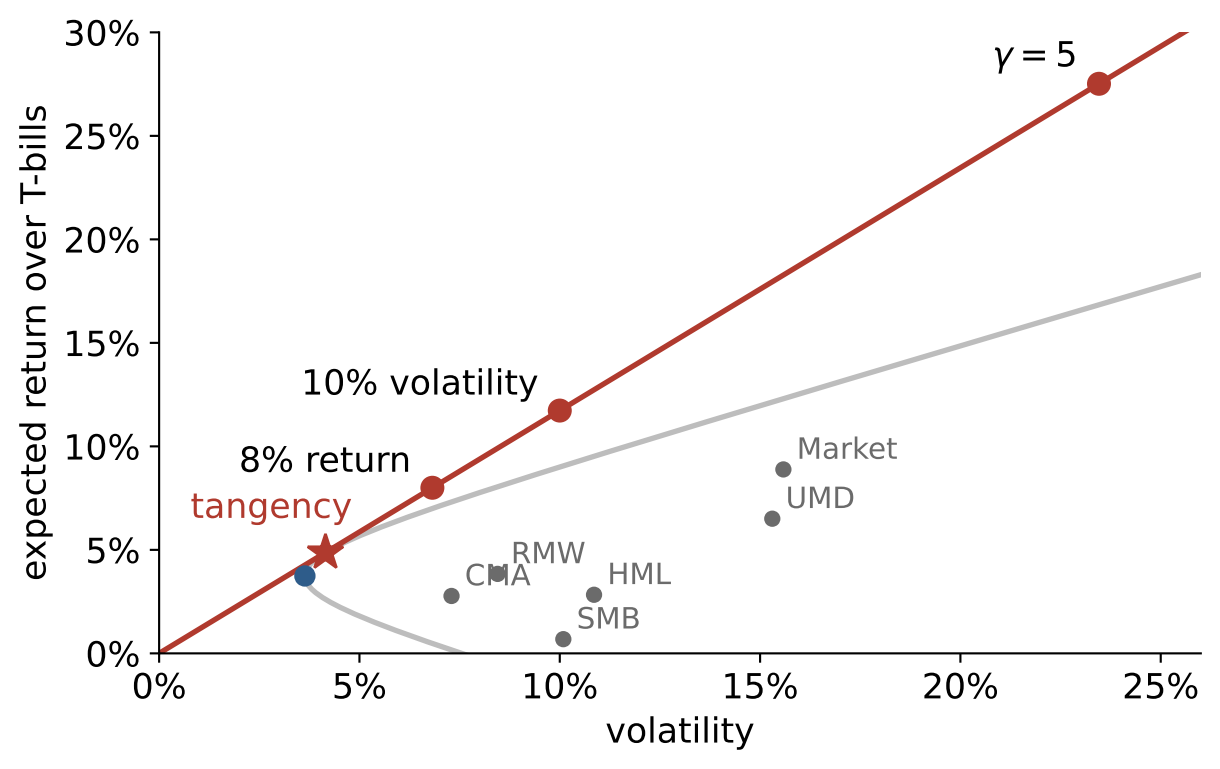
30%
25%
20%
15%
10%
5%
0%
expected return over T-bills
0%
5%
10%
15%
20%
25%
volatility
$\gamma = 5$
10% volatility
8% return
tangency
Market
UMD
RMW
CMA
HML
SMB